

ASML Q3 2026 Earnings Trade Report

The longer clock in the AI buildout: what October 14 needs to show, what options price, and how this print has behaved before.

Thesis. Token volume drives AI compute demand. TSMC shows that demand being manufactured now and over the next few quarters, through high performance computing revenue, advanced node utilization, CoWoS volume, and capex. ASML shows fabs committing today to silicon demand years out, through customer commitments, EUV orders, EUV shipments, and future tool capacity. ASML is the longer clock. [1]

How to read this document. This is analytical research for the reader's own decision. It is not investment advice and it contains no prescriptive directives. Trade structures in Section 5 are described by their mechanics, hurdles, and risks only. Where a figure could not be confirmed from any source, the report says so plainly rather than estimating it.

\$1,783.02

ASML SHARE PRICE,
OCT 9 2026 INTRADAY,
+0.75% (PREV. CLOSE
\$1,769.79)^[2]

±8.0%

IMPLIED EARNINGS
MOVE, COMPUTED (IV
× SQRT(7/365)), ABOUT
±\$142^[3]

EUR 38.8B

BACKLOG AT END
2025^[4]

54.0%

Q2 2026 GROSS
MARGIN, IBM EUR
2.762B^[5]

EXECUTIVE SUMMARY

- **Three pillars create the earnings:** order intake and backlog, EUV shipments and mix, and Installed Base Management with gross margin (Section 1).
- **October 14 is a language print on commitments.** With no quarterly bookings number disclosed, the market trades the words on 2027 coverage and 2028 expansion.
- **Options price plus or minus 8.0%** (Oct 16 IV near 57.7% vs Nov 20 near 44%), near the top of the recent day 0 range.
- **Beats have been sold before** when guidance disappointed (Q1 2025: -7.0%, Q2 2025: -8.3%). The last three prints stayed inside ±2.5%.
- **Financing: clean.** No new bonds in 2025 or 2026, debt fell, buybacks came from operating cash flow. One Mistral AI item is flagged unverified.

Contents: 1. The earnings engine · 2. What the print needs to show · 3. Earnings reaction history · 4. Options market snapshot · 5. Trade structure analysis · 6. Key dates and catalysts · 7. Financing health check · Sources and notes.

The earnings engine, in plain language

ASML sells the machines that print the smallest features on advanced chips (lithography systems), plus the services and upgrades that keep an installed fleet running and improving. Three pillars turn that activity into earnings. Each pillar answers a different question about time: what fabs have committed to, what ASML shipped this quarter, and what the existing fleet earns every quarter regardless of new orders.

PILLAR A: COMMITMENTS

Customer commitments, order intake, and backlog tell you what fabs will need years from now

When a chipmaker plans a new fab or a capacity expansion, it commits to lithography tools long before silicon ships. Those commitments become ASML order intake, and unshipped orders accumulate as backlog. A large, durable backlog does two earnings jobs: it makes future system revenue more predictable, and it justifies ASML investing in its own tool capacity ahead of demand.

Backlog stood at **EUR 38.797B at end 2025**.^[4] ASML stopped disclosing quarterly orders after Q4 2025. The last quarterly prints were **Q3 2025 net bookings of EUR 5.399B (EUR 3.6B EUV)** and **Q4 2025 net bookings of EUR 13.158B (EUR 7.4B EUV)**, an all time high.^{[4][6]} For the first half of 2026, intake is described only qualitatively as “**extremely strong**”, with 2027 low NA EUV described as “**close to fully covered with orders**”.^{[5][7]}

The capacity plan is the commitment made visible: **plus 30% low NA EUV output (about 65 to about 85 systems) and plus 30% DUV immersion (about 130 to about 170) in 2027**, with another plus 30% under study for 2028, all within the existing footprint.^{[5][7]} Management presents this as a demand durability signal funded by confirmed order coverage. Read literally, ASML is spending to build more tools because customers have already committed to fill the capacity.

PILLAR B: SHIPMENTS AND MIX

EUV system shipments and mix set the quarter's system revenue and its profitability

Commitments become earnings when systems ship and are recognized as sales. EUV systems carry the highest average selling prices, so the EUV share of system sales is the single biggest mix lever on both revenue and gross margin. A quarter with more EUV in the mix is normally a richer quarter, even at the same unit count.

In **Q2 2026 (reported July 15, 2026)**, ASML sold **86 new systems**, with **net system sales of EUR 6.6B: EUV EUR 3.8B including one High NA system, and non EUV EUR 2.8B**. The end use split was **logic 51% and memory 49%**.^[5] The 2026 plan calls for about **65 low NA EUV systems and about 130 immersion DUV systems**.^[5] Two things to hold onto: EUV mix is the average selling price and margin driver, and memory at nearly half of system sales in Q2 2026 means a memory slowdown would show up fast in this pillar.

Services earn every quarter, and margin is where the pillars meet

PILLAR C: INSTALLED BASE AND MARGIN

Installed Base Management (services and upgrades) and gross margin

Every system ASML has ever shipped needs service, spare parts, and periodic upgrades. That Installed Base Management (IBM) revenue recurs whether new orders are strong or soft, and it tends to carry attractive margins. When IBM runs ahead of guidance, it can lift total gross margin even in a mixed shipment quarter, which is exactly what happened in Q2 2026.

IBM sales were **EUR 2.762B in Q2 2026**, about **EUR 300M above guidance**, and drove the gross margin beat to **54.0%**.^[5] Q3 2026 guidance points to IBM of about **EUR 2.9B** with gross margin of **55% to 57%**. Full year 2026 guidance was raised at the Q2 2026 call to **sales of EUR 43B to 45B (from EUR 36B to 40B)** with **gross margin of 54% to 56%**.^{[5][7]}

QUARTER	IBM SALES (EUR B)	GROSS MARGIN	NOTE
Q3 2025	1.962	51.6%	Trend start in this window ^[8]
Q4 2025	2.134	52.2%	^[8]
Q1 2026	2.488	53.0%	^[8]
Q2 2026	2.762	54.0%	About EUR 300M above IBM guidance ^[5]
Q3 2026 guidance	about 2.9	55% to 57%	Company guidance ^[5]

IBM and gross margin, Q3 2025 through Q2 2026 with Q3 2026 guidance. The steady climb in both lines is the quiet story of the last four quarters: the installed fleet is monetizing faster than system sales alone would suggest.

How the three pillars combine

Commitments (Pillar A) say whether future system revenue exists. Shipments and mix (Pillar B) say how much of it lands this quarter and at what richness. Installed Base Management (Pillar C) smooths the path and, lately, has been the margin surprise. An earnings print can therefore beat on the quarter and still disappoint, if the commitment language underneath it softens. That pattern matters for October 14, and Section 3 shows it in the stock.

What the October 14 print needs to show

Because ASML no longer publishes a quarterly bookings number, the commitments read on October 14 is qualitative. There is no orders figure to beat or miss. The market will trade the language: how strongly management repeats the first half characterization, and how much color it gives on 2027 and 2028 coverage.

Commitments: language is the number now

BULLISH

Confirmation that 2027 low NA EUV is fully covered, and the 2028 plus 30% expansion moves from “under study” to confirmed. Continued “extremely strong” intake language.^{[5][7]}

BEARISH

Hesitation on 2028, or softness in China mainstream logic demand (about 20% of 2026 sales). Any walk back of the coverage language.^{[5][7]}

Shipments: hold the Q2 pace, watch High NA and memory

BULLISH

EUV net system sales hold the Q2 2026 pace or better, with High NA momentum building on Intel qualifying High NA on select 18A layers in Q2 2026.^[5]

BEARISH

A memory slowdown (memory was 49% of Q2 2026 system sales) or a shipment timing slip that pushes recognition into a later quarter.^[5]

Installed Base and margin: at or above about EUR 2.9B, high end of the range

BULLISH

IBM at or above the guided about EUR 2.9B, with gross margin at the high end of the 55% to 57% guided range.^[5]

BEARISH

A Q4 or full year guide down on mix dilution, which would break the four quarter IBM and margin climb shown in Section 1.^{[5][8]}

The pattern to respect

The stock has sold off on earnings beats when forward commentary disappoints. Day 0 reactions: **Q1 2025: -7.0%, Q2 2025: -8.3%.**^[9] For October 14, that means the guidance language and the 2027 to 2028 coverage color are likely to matter as much as the Q3 numbers themselves. A clean Q3 with soft forward language has been punished before.

SECTION 3

Earnings reaction history: beats do not guarantee green days

Eight quarters of day 0 reactions on the Nasdaq ADR tell a consistent story: reactions are muted to negative when guidance disappoints, whatever the reported quarter did. The October 2024 bookings shock is the outlier. The last three prints were all contained.

REPORT DATE	EARNINGS FOR	DAY 0 %	DAY +1 %	LISTING NOTE
Oct 15, 2024	Q3 2024	-15.6%	-2.5%	Amsterdam listing ^[9]
Jan 29, 2025	Q4 2024	+4.28%	not confirmed	Nasdaq ADR ^[9]
Apr 16, 2025	Q1 2025	-7.03%	not confirmed	Nasdaq ADR ^[9]
Jul 16, 2025	Q2 2025	-8.33%	not confirmed	Nasdaq ADR ^[9]
Oct 15, 2025	Q3 2025	+2.71%	not confirmed	Nasdaq ADR ^[9]
Jan 28, 2026	Q4 2025	-2.18%	not confirmed	Nasdaq ADR ^[9]
Apr 15, 2026	Q1 2026	-2.41%	not confirmed	Nasdaq ADR ^[9]
Jul 15, 2026	Q2 2026	+2.23%	not confirmed	Nasdaq ADR ^[9]

Day +1 figures were not confirmed from any source for seven of the eight prints and are reported as such rather than estimated. Only the October 2024 day +1 figure (-2.5%, Amsterdam listing) was available.^[9]

What the table says

- **The typical day 0 range is about plus or minus 2% to 8%**, excluding the October 2024 shock. Five of the eight prints landed inside plus or minus 3%.
- **The two largest down moves after 2024 (Q1 2025 -7.0%, Q2 2025 -8.3%) were guidance stories**, not reported quarter misses. That is the historical basis for Section 2's emphasis on forward language.
- **Containment is recent.** Q3 2025 (+2.71%), Q4 2025 (-2.18%), Q1 2026 (-2.41%), and Q2 2026 (+2.23%): the last four prints, and specifically the last three inside plus or minus 2.5%, suggest the market has been pricing ASML earnings as lower drama events. Section 4 tests that against the current options price.

SECTION 4

Current options market snapshot, Friday October 9, 2026

All figures in this section are as of Friday, October 9, 2026, with markets open. The share price reference is **\$1,783.02, up 0.75% intraday, against a previous close of \$1,769.79.**^[2]

57.7%

OCT 16 2026 NEAR ATM IV
(58.64% CALL / 56.73% PUT AT
1780 STRIKE)^[3]

43.5% to 44.2%

NOV 20 2026 NEAR ATM IV, NO
EARNINGS IN WINDOW^[3]

51.9% / 44.8%

OVERALL ASML IV / HISTORICAL
VOLATILITY^[3]

ITEM	FIGURE	BASIS
Share price, Oct 9 2026 intraday	\$1,783.02 (+0.75%)	Previous close \$1,769.79 ^[2]
Oct 16 2026 expiry, near ATM IV	about 57.7%	58.64% call and 56.73% put at the 1780 strike, Black Scholes inversion of bid and ask midpoints on the Oct 8 close of \$1,769.79 ^[3]
Nov 20 2026 expiry, near ATM IV	about 43.5% to 44.2%	Same method, later expiry, no earnings event inside ^[3]
Implied expected move, earnings event	±8.0% (about ±\$142)	Computed: $IV \times \sqrt{7/365}$ on the Oct 16 IV ^[3]

Computed, not quoted

No published expected move figure was found from any options source. The plus or minus 8.0% (about plus or minus \$142) figure in this report is computed from the implied volatility above ($IV \times \sqrt{7/365}$), a seven day window to the October 16 expiry), not quoted from a vendor. It is presented as arithmetic on observed IV, and the reader should treat it accordingly.

How plus or minus 8.0% compares

- It sits **near the top of the typical day 0 range** (about plus or minus 2% to 8% in Section 3), below only the **October 2024 shock (-15.6%)**.
- It **matches the magnitude of the recent guidance disappointment selloffs**: Q1 2025 (-7.0%) and Q2 2025 (-8.3%).
- The gap between the October 16 IV (about 57.7%) and the November 20 IV (about 43.5% to 44.2%) is a **clean earnings premium**: the market is paying roughly 13 to 14 volatility points extra for the expiry that contains the print, then pricing normality again afterward.
- Tension to note: the last three realized day 0 moves were inside plus or minus 2.5%, yet the market prices plus or minus 8.0%. Either the options market is charging for the 2025 style disappointment tail, or realized containment has made earnings premium expensive relative to recent outcomes. Section 5 prices structures against that tension without resolving it for the reader.

Trade structure analysis: mechanics, hurdles, and risks

Analytical only. This section describes how structures behave around the print. It does not recommend any position, size, or direction.

Directional long premium: long call or long put

A long call profits if the stock moves up past the premium paid by expiry, and a long put profits on the equivalent down move. Both carry the same structural features into an earnings print:

- **The hurdle is the implied move.** With implied at plus or minus 8.0%, a directional long must see the stock move beyond roughly that magnitude in the chosen direction, after costs, before expiry on October 16.
- **IV crush hits both directions.** The October 16 IV (about 57.7%) embeds an earnings premium over November (about 43.5% to 44.2%). When the print clears, that premium normally collapses toward the post event level on the morning after. A correct directional call can still lose money if the move is smaller than the premium deflation.
- **Theta decay runs into the event.** Premium paid days early decays while the binary event is still ahead. Pricing evolves as uncertainty resolves closer to the print, so entry timing changes the effective price of the same view.

Long volatility: long straddle or long strangle

A long straddle (at the money call plus put) or strangle (out of the money pair) profits if the realized move exceeds the implied plus or minus 8.0% in either direction. It benefits when the IV premium is mispriced relative to the volatility that actually arrives, and it is direction neutral, which suits a print where Section 2 argues the surprise could come from language rather than numbers. The offsetting mechanics are severe: IV crush after the print means the position normally must be entered cheap enough and exited promptly, and most long volatility positions around earnings are exited the day of or the day after the print rather than held through remaining decay.

Scenario math and the risks that dominate

Illustrative straddle mechanics (not a recommendation)

With the implied move at about plus or minus \$142 on the October 9 intraday price of \$1,783.02, a long at the money straddle needs the stock roughly **outside \$1,641 to \$1,925** by the October 16 expiry to cover the illustrated move at expiry, before accounting for the actual premium quoted at entry, bid and ask spreads, and the post print IV level at exit. Inside that band at expiry, the illustrated straddle loses value even if the earnings headline reads well or badly. These are mechanics for reading a quote, stated as arithmetic, not as an entry instruction.

Key risks common to long premium structures here

- **Inside the band losses:** the stock can drift inside plus or minus 8.0% on a print the headlines call good or bad, and long premium loses on both directional and straddle structures. Recent history (three straight prints inside plus or minus 2.5%) is exactly that scenario.
- **Liquidity and wide spreads** in the earnings expiry can make the quoted premium meaningfully worse than midpoint arithmetic suggests.
- **Gap risk beyond the implied move:** October 2024 (-15.6% day 0) shows the distribution has a tail the implied move does not cap. That tail helps long volatility and hurts any short premium construction, which this report does not analyze in depth because the brief is framed around catching the reaction with defined risk long premium.
- **Exit timing dominates:** for long premium, the exit decision on the morning after the print (sell into the crush, or hold for a follow through move) typically matters more than small differences in entry premium.

Key dates and catalysts

DATE	EVENT	WHY IT MATTERS
Wednesday, October 14, 2026, about 07:00 CET	ASML Q3 2026 earnings release ^[10]	Before the US market open. Q3 numbers plus, critically, forward language on 2027 to 2028 coverage and China demand.
Friday, October 16, 2026	Options expiry covering the print ^[3]	The expiry whose IV (about 57.7%) prices the plus or minus 8.0% implied move. Long premium structures in Section 5 are read against this date.

Recent news and the setup into the print

- **TSMC committed to High NA EUV in September** (reported October 8, 2026), putting all major customers on the High NA platform and feeding the October 14 order intake narrative.^[11] In the thesis frame, this is the near clock (TSMC manufacturing now) pulling the long clock (ASML tool commitments years out).
- **Street consensus into the print:** earnings per share about **\$11.97 to \$12.07** on revenue of about **\$13.13B to \$13.18B**.^[12]
- **Analyst tone is bullish** into the print, with JPMorgan pointing to a possible stronger 2027 signal and a Strong Buy consensus.^[12] Section 2 explains why a 2027 signal, or its absence, is the real catalyst.

Financing health check: verdict clean

The question in this section is narrow: is there anything in ASML's recent financing that should worry a reader holding exposure through earnings, such as new borrowing to fund buybacks, convertible dilution overhangs, or accounting stress? On the filings reviewed, the answer is no.

- **Filings reviewed:** the FY2025 Form 20-F filed February 25, 2026, and all 2026 Forms 6-K.^{[13][14]}
- **No new long term bonds** were issued in 2025 or 2026. The **EUR 10B EMTN program established March 20, 2026 is an unused shelf**. FY2025 debt actually fell by about EUR 400M as the EUR 1B 3.5% bond matured on December 6, 2025.^{[13][14]}
- **No convertibles, no restatements, no going concern language.** PwC gave an unqualified opinion after a planned KPMG to PwC rotation under EU audit rules.^[13]
- **Capital returns were funded, not borrowed:** EUR 5.95B of FY2025 buybacks plus EUR 2.55B of dividends were paid from EUR 13.8B of operating cash flow while debt declined. That is the opposite of a borrow to buyback pattern.^[13]
- **Related party flows are disclosed and directional:** Carl Zeiss flows (EUR 4.4B of purchases, EUR 1.9B of loans receivable) are long standing, secured by parental guarantee, and flow toward the supplier for ASML's own optics roadmap.^[13]
- **Maturity profile is laddered:** EUR 4.46B total across 2026 to 2032, all fixed rate, plus a EUR 1.5B undrawn committed facility to 2030. The 2027 plus 30% EUV and DUV capacity expansion is funded from operating cash flow per stated financing policy.^{[13][14]}

Method caveat and one unverified item. Filings were reviewed via full text filing mirrors (StockTitan) cross checked against filing trackers, after direct EDGAR access returned errors from the research environment. No figures were invented to fill gaps. One item could not be confirmed from a second source and remains **unverified**: a reported stake of about \$1.3B (about 11%) in Mistral AI appeared only in a single low quality source. It is not relied on anywhere in this report.^{[13][15]}

Sources, method notes, and what could not be confirmed

Every factual claim in this report carries a bracketed reference below. Sources are identified by publication, document, and date as provided in the underlying research. Figures are reproduced as reported in those sources, in EUR for company financials and USD for market data, without conversion.

1. **Thesis framing** (token volume, TSMC as the near clock, ASML as the longer clock): research framing supplied for this report, October 9, 2026. Interpretive frame, not a cited external fact.
2. **Finnhub**, live quote, Friday October 9, 2026 (markets open): ASML \$1,783.02 intraday, +0.75%, previous close \$1,769.79.
3. **Optionistics**, ASML options data on the October 8, 2026 close of \$1,769.79: October 16, 2026 expiry IV 58.64% (call) and 56.73% (put) at the 1780 strike, near at the money IV about 57.7% by Black Scholes inversion of bid and ask midpoints; November 20, 2026 near at the money IV about 43.5% to 44.2%; overall ASML IV 51.9%, historical volatility 44.8%. Implied move of plus or minus 8.0% (about plus or minus \$142) computed as $IV \times \sqrt{7/365}$. No published expected move figure was found from any options source.
4. **ASML**, Q4 2025 press release, January 28, 2026, via GlobeNewswire: backlog EUR 38.797B at end 2025; Q4 2025 net bookings EUR 13.158B (EUR 7.4B EUV).
5. **ASML**, Q2 2026 press release, July 15, 2026, via GlobeNewswire: 86 new systems sold; net system sales EUR 6.6B (EUV EUR 3.8B including one High NA system; non EUV EUR 2.8B); logic 51%, memory 49%; IBM EUR 2.762B (about EUR 300M above guidance); gross margin 54.0%; Q3 2026 guidance IBM about EUR 2.9B and gross margin 55% to 57%; FY2026 guidance raised to sales EUR 43B to 45B and gross margin 54% to 56%; 2026 plan about 65 low NA EUV and about 130 immersion DUV systems; capacity plan plus 30% low NA EUV (about 65 to about 85) and plus 30% DUV immersion (about 130 to about 170) in 2027, another plus 30% under study for 2028, within the existing footprint.
6. **ASML**, Q3 2025 reporting (October 2025): net bookings EUR 5.399B (EUR 3.6B EUV), last quarterly bookings print before disclosure ceased after Q4 2025.
7. **ASML**, Q2 2026 earnings call transcript, July 15, 2026, via fool.com (The Motley Fool): first half 2026 intake described as “extremely strong”; 2027 low NA EUV “close to fully covered with orders”; FY2026 guidance raise; China mainstream logic at about 20% of 2026 sales; Intel High NA qualification on select 18A layers.
8. **ASML quarterly results trend**, Q3 2025 through Q2 2026 (company quarterly reporting): IBM EUR 1.962B, EUR 2.134B, EUR 2.488B, EUR 2.762B; gross margin 51.6%, 52.2%, 53.0%, 54.0%.
9. **Earnings reaction history**, day 0 percentage moves on the Nasdaq ADR (Amsterdam listing for October 15, 2024), report dates October 15, 2024 through July 15, 2026, as compiled for this report October 9, 2026. Day +1 confirmed only for October 15, 2024 (-2.5%); all other day +1 figures are stated in the report as not confirmed.
10. **ASML Q3 2026 earnings date**: Wednesday, October 14, 2026, about 07:00 CET, before the US market open (company reporting calendar).
11. **CNBC**, October 8, 2026: TSMC committed to High NA EUV in September 2026, putting all major customers on the High NA platform.
12. **Street consensus and analyst tone** into the October 14, 2026 print, as compiled October 9, 2026: EPS about \$11.97 to \$12.07 on revenue about \$13.13B to \$13.18B; JPMorgan on a possible stronger 2027 signal; Strong Buy consensus.
13. **ASML Form 20-F for FY2025**, filed February 25, 2026, and **2026 Forms 6-K**, reviewed via full text filing mirrors (StockTitan) cross checked against filing trackers: no new long term bonds in 2025 or 2026; EUR 10B EMTN program (March 20, 2026) unused; FY2025 debt down about EUR 400M on the December 6, 2025 maturity of the EUR 1B 3.5% bond; EUR 5.95B buybacks and EUR 2.55B dividends funded from EUR 13.8B operating cash flow; Carl Zeiss related party flows EUR 4.4B purchases and EUR 1.9B loans receivable, parental guarantee; maturities EUR 4.46B laddered 2026 to 2032, all fixed rate; EUR 1.5B undrawn committed facility to 2030; PwC unqualified opinion after planned KPMG to PwC rotation.
14. **Financing method note**: direct EDGAR access returned errors from the research environment; the review used StockTitan full text filing mirrors cross checked against filing trackers. No figures were invented where a filing figure was unavailable.
15. **Unverified item, not relied upon**: a reported ASML stake of about \$1.3B (about 11%) in Mistral AI appeared in a single low quality source only and could not be confirmed from a second source. The report flags it as unverified and draws no conclusion from it.

What could not be confirmed

- Day +1 earnings reactions for seven of the eight prints in Section 3: stated as not confirmed, not estimated.
 - A published (vendor quoted) expected move for the October 14 print: none found. The plus or minus 8.0% figure is computed from IV and labeled as such.
 - The reported Mistral AI stake (about \$1.3B, about 11%): single source, unverified, not relied upon.
 - Any Q3 2026 quarterly bookings figure: ASML no longer discloses one. The commitments read is qualitative by design.
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Prepared Friday, October 9, 2026. Analytical research for the reader's own decision, not investment advice. No position, size, or direction is recommended in this document. Market figures are as of the dates stated in each section and will move after publication.